Cohu, Inc.

COHU | Nasdaq | 2026-10-11

Q4 2027 model ceiling: USD 51.19

Analytical Base 38/60 = 63 | Growth and cyclical recovery; qualified thermal test supplier, not a monopoly

20x fully expensed forward-four-quarter GAAP operating profit, with end-window common shares plus conversion-premium shares. Convertible principal remains a cash claim; no capped-call credit. Adopted premium shares are fixed in the workbook probability controls; rebuild the jointly solved premium and funding before adopting changed operating inputs.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 68.19 per share (2026-10-09 16:00 America/New_York regular close); 47.338 million common shares (2026-07-21); estimated equity capitalization USD 3,228.0 million. July 21 common shares from the Q2 10-Q cover; October 9 regular-session unadjusted and adjusted closes both $68.19. No inference about subsequent conversion activity. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: no positive modeled upside at the dated 2026-10-09 16:00 America/New_York regular close price of USD 68.19, so the Upside Driver split is unavailable.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	133.0	20x	53.201	51.19

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated Cohu; HPC program revenue includes its associated recurring products, which are removed from the residual recurring bucket. 20x fully expensed forward-four-quarter GAAP operating profit, with end-window common shares plus conversion-premium shares. Convertible principal remains a cash claim; no capped-call credit. Adopted premium shares are fixed in the workbook probability controls; rebuild the jointly solved premium and funding before adopting changed operating inputs.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD million unless a different unit is stated.

Thesis

Cohu's attractive engineering problem is straightforward: testing an increasingly powerful chip is useful only if the test system can hold its temperature stable and contact it reliably. Thermal control, handlers, sockets, interfaces and software all help customers obtain a repeatable answer. The investment problem is harder. Customers' potential spending is not backlog, and the shares already anticipate a substantial recovery.

This analysis values consolidated Cohu in US dollars at 20x fully expensed forward-four-quarter operating profit. It covers one Nasdaq common share. The analytical Base is 63, or 38/60; coverage does not imply a personal holding. The October 9 regular close was $68.19. The adopted Q4 2027 ceiling is $51.19, about 0.75x that close. Growing revenue and a better product mix therefore do not yet establish attractive upside at the current price.

The qualified product, and the boundary of its moat

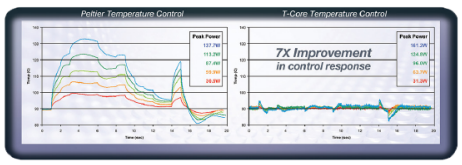
Cohu handles devices, controls their thermal environment and connects them to test equipment. It is not interchangeable with the electronic measurement resources sold by Advantest or Teradyne, although its business depends on the same customer programs. Its revenue also includes interfaces, device kits, thermal head upgrades, maintenance and other services across a large installed base. “Recurring” does not mean all revenue is contracted software subscription revenue.

The T-Core product sheet illustrates closed-loop temperature control and a physical controller/head combination. The historical May 2020 sheet discusses up to 800 W device dissipation and several total heater configurations up to 4,000 W. Those are different specifications. It would be wrong to describe the older product as handling a 4,000 W chip simply because the controller's combined heater rating reaches that number. The exhibit is used to explain the architecture, not to certify current configurations or a performance comparison with a competitor.

Qualification matters because a new handler or interface must work within the customer's test flow, with acceptable yield, throughput, contact performance and temperature accuracy. More power can increase Cohu's content per device; more demanding interfaces can also require more engineering and support. The model therefore carries incremental operating costs rather than treating every additional dollar as pure profit. Alternative qualified vendors, test-flow changes and customers' own deployment timing remain real constraints.

T-Core Thermal System

Scalable Multi-Channel Active Thermal Control System





T-Core 4M Controller



Air-cooled ATC Head



Automotive



Mobility



IoT/IoV & Optoelectronics



Computing & Network



Industrial & Medical



Consumer

Capabilities

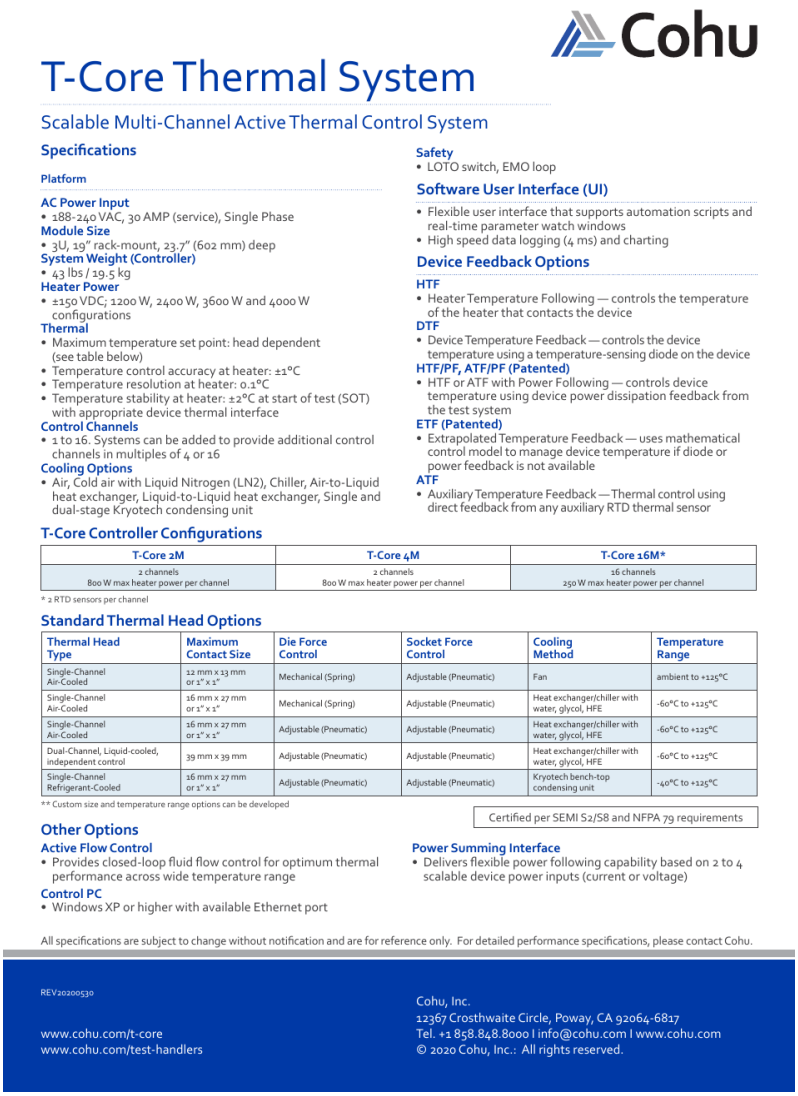
- Industry-leading T-Core Active Thermal Control (ATC) for up to 800 W power dissipation
- Full data correlation to multi-site ATC test handlers
- Scalable architecture to support multiple sites with 3 RTD sensors per site
- Supports tri-temp testing with single insertion
- Intuitive, configurable software user interface

Key Features

- High-speed, 1 ms closed-loop ATC for applications in Engineering Development, Test, Burn-In and System-Level Test
- Flexible control loop, leveraging device power or diode temperature
- Fast temperature ramp up to 100°C/second
- Closed-loop Automatic Flow Control (AFC) for liquid-cooled, air-cooled or phase-change (refrigerant-cooled) thermal heads

- **Wide test temp range from -55°C to +155°C**
- **Precise temperature guard band ± 1°C**
- **Low to >800 W power dissipation**
- **Ultra fast thermal response for low Tj rise via device temperature or device power feedback**

Cohu official product sheet | Cohu T-Core product sheet, revision May 30, 2020, page 1. Historical product architecture, not a claim about all 2026 configurations. Temperature response and physical controller/head.



Cohu

T-Core Thermal System

Scalable Multi-Channel Active Thermal Control System

Specifications

Platform

AC Power Input
- 188-240 VAC, 30 AMP (service), Single Phase

Module Size
- 3U, 19" rack-mount, 23.7" (602 mm) deep

System Weight (Controller)
- 43 lbs / 19.5 kg

Heater Power
- ±150 VDC; 1200 W, 2400 W, 3600 W and 4000 W configurations

Thermal
- Maximum temperature set point: head dependent (see table below)
- Temperature control accuracy at heater: ±1°C
- Temperature resolution at heater: 0.1°C
- Temperature stability at heater: ±2°C at start of test (SOT) with appropriate device thermal interface

Control Channels
- 1 to 16. Systems can be added to provide additional control channels in multiples of 4 or 16

Cooling Options
- Air, Cold air with Liquid Nitrogen (LN2), Chiller, Air-to-Liquid heat exchanger, Liquid-to-Liquid heat exchanger, Single and dual-stage Kryotech condensing unit

Safety
- LOTO switch, EMO loop

Software User Interface (UI)

- Flexible user interface that supports automation scripts and real-time parameter watch windows
- High speed data logging (4 ms) and charting

Device Feedback Options

HTF
- Heater Temperature Following — controls the temperature of the heater that contacts the device

DTF
- Device Temperature Feedback — controls the device temperature using a temperature-sensing diode on the device

HTF/PF, ATF/PF (Patented)
- HTF or ATF with Power Following — controls device temperature using device power dissipation feedback from the test system

ETF (Patented)
- Extrapolated Temperature Feedback — uses mathematical control model to manage device temperature if diode or power feedback is not available

ATF
- Auxiliary Temperature Feedback — Thermal control using direct feedback from any auxiliary RTD thermal sensor

T-Core Controller Configurations

T-Core 2M	T-Core 4M	T-Core 16M*
2 channels 800 W max heater power per channel	2 channels 800 W max heater power per channel	16 channels 250 W max heater power per channel

* 2 RTD sensors per channel

Standard Thermal Head Options

Thermal Head Type	Maximum Contact Size	Die Force Control	Socket Force Control	Cooling Method	Temperature Range
Single-Channel Air-Cooled	12 mm x 13 mm or 1" x 1"	Mechanical (Spring)	Adjustable (Pneumatic)	Fan	ambient to +125°C
Single-Channel Air-Cooled	16 mm x 27 mm or 1" x 1"	Mechanical (Spring)	Adjustable (Pneumatic)	Heat exchanger/chiller with water, glycol, HFE	-60°C to +125°C
Single-Channel Air-Cooled	16 mm x 27 mm or 1" x 1"	Adjustable (Pneumatic)	Adjustable (Pneumatic)	Heat exchanger/chiller with water, glycol, HFE	-60°C to +125°C
Dual-Channel, Liquid-cooled, independent control	39 mm x 39 mm	Adjustable (Pneumatic)	Adjustable (Pneumatic)	Heat exchanger/chiller with water, glycol, HFE	-60°C to +125°C
Single-Channel Refrigerant-Cooled	16 mm x 27 mm or 1" x 1"	Adjustable (Pneumatic)	Adjustable (Pneumatic)	Kryotech bench-top condensing unit	-40°C to +125°C

** Custom size and temperature range options can be developed

Certified per SEMI S2/S8 and NFPA 79 requirements

Other Options

Active Flow Control
- Provides closed-loop fluid flow control for optimum thermal performance across wide temperature range

Control PC
- Windows XP or higher with available Ethernet port

Power Summing Interface
- Delivers flexible power following capability based on 2 to 4 scalable device power inputs (current or voltage)

All specifications are subject to change without notification and are for reference only. For detailed performance specifications, please contact Cohu.

REV20200530

www.cohu.com/t-core
www.cohu.com/test-handlers

Cohu, Inc.
12367 Crosthwaite Circle, Poway, CA 92064-6817
Tel. +1 858.848.8000 I info@cohu.com I www.cohu.com
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Cohu official product sheet | Cohu T-Core product sheet, revision May 30, 2020, page 2. Historical product architecture, not a claim about all 2026 configurations. Aggregate heater configurations up to 4,000 W are not the same as 800 W per-channel device dissipation.

Reported results and a disciplined starting point

The latest published quarter in the reviewed records ended June 27, 2026. July results showed $149.002m revenue, $67.590m gross profit and $0.292m GAAP operating profit. The operating bridge includes R&D, selling and administration, acquired-intangible amortization and restructuring. First-quarter revenue was $125.119m with an $11.154m operating loss. The September quarter is not a reported actual as of this review.

The July revenue midpoint for Q3 is $170m. The non-GAAP margin and expense guide, reconciled for disclosed stock compensation and amortization, implies about $8.7m GAAP operating profit. The model preserves that bridge. Product allocations within the guide are assumptions, not additional company guidance. Q4 revenue of $167.375m brings the full year to $611.496m, consistent with approximately 35% growth from the prior year's revenue; quarter timing remains an estimate.

The two management records reviewed were the April 30 and July 30 results calls. They describe a recovery led by computing and industrial activity rather than a uniform recovery across every end market. Automotive orders

remained weaker in the July discussion. Software is growing from a small base and is included in recurring revenue here; it is not large enough to justify valuing Cohu as a software company.

Pipeline, capacity and accepted revenue

The July and August materials describe approximately $850m of annual potential customer spending. The detailed ranges distinguish about $190m associated with qualified programs, $200-230m with programs in qualification, and $410-460m with early engagements. The intervals total $800-880m, which contains the rounded headline. Treating every upper bound as simultaneous contracted revenue would overstate the opportunity.

The pipeline includes system and recurring content. The model's HPC bucket includes the program's dedicated recurring products. Its residual recurring bucket excludes those same products. That prevents adding a full pipeline opportunity to a service estimate that already contains it. Co-packaged optics and optical engine tests are already represented in the discussed opportunity set, so there is no separate unlimited CPO revenue addition.

Management is preparing more capacity, but its remarks describe staged expansion and conditional further increases. Output capacity is not recognized sales. Customer qualifications, final orders, installation and acceptance must occur before the larger factory opportunity becomes earnings. Lead-time comments about the first system in an order should not be applied to every unit in a large order. Additional specialty components and memory can also consume working capital or offset pricing improvements.

The key beneficiaries of a successful ramp would include the qualified thermal/interface suppliers and the tester platforms supporting the same programs. That relationship does not establish a fixed revenue allocation to any other covered company. Customer wins and accepted installations should be evaluated separately from broad semiconductor capex announcements.

Reference economics, with visible assumptions

The reference model divides sales into three mutually exclusive buckets: HPC programs including dedicated recurring content; other system programs; and residual recurring products and services. Annual HPC revenue is $190m, $250m, $280m and $310m for 2027-2030. Other systems are $250m, $265m, $280m and $290m. Residual recurring revenue is $310m, $330m, $350m and $365m. These sum to $750m, $845m, $910m and $965m before the probability-weighted branches.

These are revenue proxies rather than invented handler shipment counts or company-disclosed product prices. The initial HPC reference is linked to the qualified opportunity, but spending is not guaranteed. Its later growth assumes more accepted shipments and associated recurring purchases; the separate delay branch tests the weaker non-HPC recovery. A deeper customer-specific order record could materially change the distribution between the reference and conditional cases.

Reference gross margins for HPC rise from 51% in 2027 to 54% by 2029. Other systems rise from 43% to 45%, while residual recurring products rise from 53% to 55%. Product margins are analytical assumptions, not disclosed segment margins. Consolidated ordinary operating costs rise from $286m to $346m over those years. R&D, stock compensation, ordinary depreciation and acquired-intangible amortization remain expenses. No EBITDA substitution is used.

The active probability-weighted model reaches revenue of approximately $778m, $920m, $1,023m and $1,101m across 2027-2030. Fully expensed operating profit is approximately $95m, $149m, $185m and $205m. Much of that improvement is operating leverage over an existing expense base; it should not be described as a second independent pricing benefit.

Rule 16b: early evidence without treating it as certainty

The qualification branch assigns 45% probability to gross incremental program revenue of $110m/$220m/$300m/$350m over 2027-2030, then removes 25% for overlap with the reference ramp. The net contribution earns 53% gross margin and consumes 14% incremental operating expense, leaving 39% operating contribution. The probability range is 25-65%. The later-year amounts assume expansion beyond the current qualification programs; they are not today's backlog.

The early-engagement branch assigns 25% probability, with a 10-40% range. Gross conditional revenue is zero in 2027, then $80m/$170m/$220m, and half is removed for overlap and uncertain scope. A 50% gross margin and 17% incremental operating expense leave 33% operating contribution. CPO is inside this branch where applicable. It is not a separate duplicate addition.

For pricing, the model assigns 45% probability to a 3% premium on 30% of HPC revenue, with half removed for mix overlap. Only new or repriceable programs are eligible. The eligible base includes the active probability-weighted program additions once. Incremental component cost absorbs 35% of that price revenue and support absorbs another 10%. This is a bounded interpretation of early pass-through discussions; no announced price increase is represented as fact. The pricing branch is linked to the active volume assumptions and must be recalibrated if those probabilities are changed.

Finally, a 25% downside probability removes 15% of non-HPC system sales in each modeled year. Lost gross profit is partly offset by avoidable operating expense. This combines the relevant cyclical delay into one deduction rather than penalizing utilization, automotive orders and delayed replacement spending three times for the same outcome.

The convertible cannot be ignored

The July 21 filing cover reports 47.338433m common shares. Those shares, rather than a future diluted forecast, determine the dated market capitalization. The operating valuation adds 0.1m ordinary shares per quarter for future compensation and resolves the conversion premium separately.

The outstanding convertible has $287.5m face principal, a 1.5% coupon and January 2031 maturity. Its initial conversion rate corresponds to 10.57928125m underlying shares and a conversion price of approximately $27.176. The terms require cash settlement up to principal; the excess may be settled in cash, shares or a combination. The model retains the principal within claims and adds only the share-settled premium at the modeled price. It does not add all underlying shares while also retaining the same face debt.

For a modeled value V above the strike, premium shares equal 10.57928125 multiplied by (V minus the strike) divided by V. Solving this together with the equity valuation avoids a circular double count. At the Q4 2027 ceiling, ordinary end-window shares are 48.238433m and the modeled premium is 4.962984m shares. The total valuation denominator is 53.201417m shares. The premium settlement choice and timing remain assumptions, not a report of executed conversions.

The claims bridge uses $304.403m face debt, $4.937m retirement liabilities and a $125m operating cash reserve against $498.167m cash and short-term investments. Net claims are negative $63.827m, representing modest excess cash. The $35.014m operating-lease liability is not deducted again because the forecast retains full operating rent. Note 11 reports zero finance-lease liabilities and zero future finance-lease payments. Future accumulated cash, unused buyback authority and the accounting discount on the convertible are not credited as extra equity value.

Capped calls can reduce future economic dilution, but their documented settlement window and potential early-conversion treatment require care. The active model credits no hedge benefit. A separate bound records up

to approximately $146.46m at the stated cap, subject to transaction timing and terms. This is deliberately conservative about an asset that may ultimately help shareholders.

Funding is tested across the sixteen combinations of the four operating branches. The stress assumes immediate payment of all $304.403m debt, including the $16.903m non-convertible balance, plus the entire $4.937m legacy retirement liability. Initial liquid resources are $188.827m. This is more severe than contractual timing. The cash-flow proxy includes tax on positive operating profit, noncash depreciation/amortization, incremental working capital, capital expenditure. There is no residual principal or finance-lease payment after these upfront stress deductions; ordinary pension service expense and full rent remain in operating costs. The pricing branch is recomputed from the actual HPC volumes in each stress state, rather than copied from probability-weighted volumes. All tested states remain above the $125m reserve, so no financing issuance is added. This is a bounded liquidity test, not a forecast of the actual conversion date or a full treasury plan.

Valuation, growth and the next decision

The ceiling uses the target quarter plus the next three operating quarters and the final quarter's share count. Q4 2027 therefore values Q4 2027 through Q3 2028. It is not a calendar-2027 EPS target and should not be compared directly with a bank target on another earnings basis.

The economic narrative is growth plus a cyclical recovery, but the owner's numerical Upside Driver is unavailable at the current price because the active target is below the market. A positive classification must be recalculated if price, the first displayed Q4 2026 target or the active Q4 2027 target changes. No Base weighting enters that calculation.

The next useful evidence is accepted customer volume, conversion of qualified and in-qualification programs into orders, gross margin after component inflation, and ordinary expense growth. November 10 investor day is an opportunity to reconcile the pipeline with capacity and a longer-term profit framework. A strong order announcement is useful; a complete delivery and margin bridge is more valuable.

The main reasons to revise the model upward are faster accepted HPC deliveries, stronger content per device or a better recurring mix without proportional engineering cost. Reasons to revise downward are qualification delay, lost programs, gross-margin pressure, an uneven legacy recovery or unexpected cash settlement costs. No individual customer allocation or guarantee is invented to close those gaps.

Source and review limitations

Primary July results and the June 10-Q provide the financial anchors; the April and July management calls supply timing and qualification context. The July and August presentations were text-readable, but direct original downloads returned access errors. Their original figures were not visually inspectable in this run. Both pages of the official T-Core product sheet were inspected and saved. No recreated chart is represented as an original management exhibit. The workbook and analytical charts can still show the model's own explicit assumptions with that distinction intact.

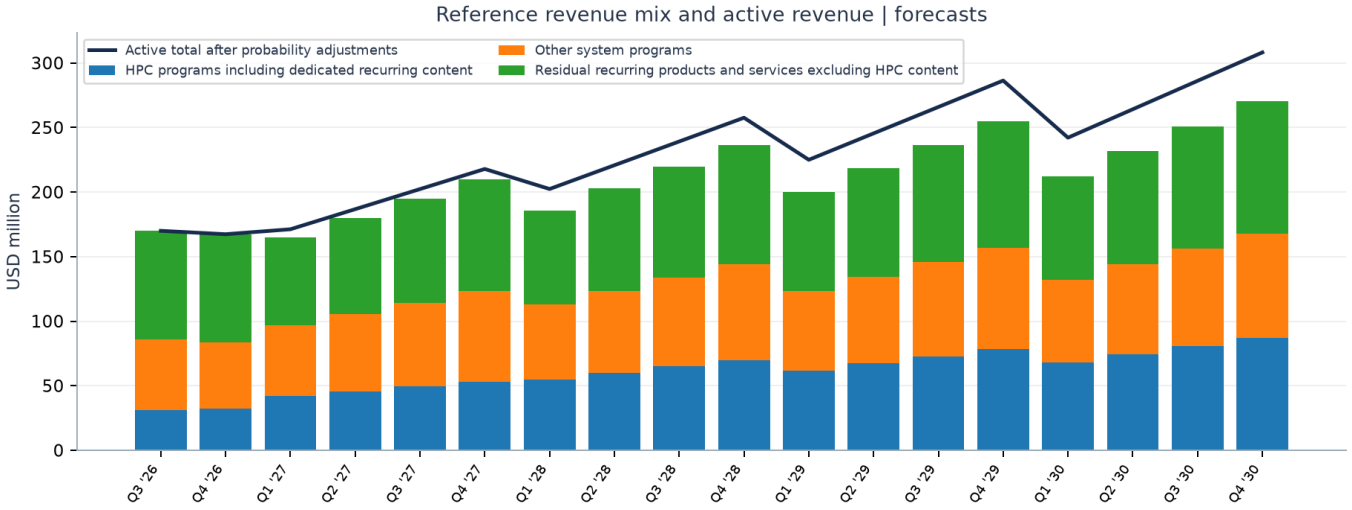
Sources, exact arithmetic, pipeline dispositions, financing bounds and sixteen liquidity states are retained with this adopted research.

Workbook probability controls are operating-value sensitivities with the adopted conversion-premium shares and financial claims held fixed. The independently solved reference-only premium case is retained in the model record. Before adopting any changed operating forecast or multiple, recompute the linked eligible pricing volume, conversion premium and funding. The active target and all displayed active-quarter ceilings were independently checked against the joint value/premium equation.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	14	Thermal control, handlers, consumable interfaces and installed-base qualification matter, but test customers can qualify alternative suppliers.
Cycle	8	Computing and industrial orders are improving; automotive has not recovered uniformly.
TAM	8	Higher chip power and more test insertions expand test content; optical engine testing is an additional application within the existing pipeline.
Catalysts	4	Customer qualifications, handler capacity, November 10 investor day and quarterly margins.
Macro	7	AI capital investment supports demand; customer concentration and cyclicality constrain confidence.
Alpha	2	Separating qualified spend, recurring products and convertible premium dilution improves the economic bridge.
Risk classes	-5	Five deductions: unbooked pipeline execution; customer concentration; auto/industrial cycle; component and ramp cost; conversion and cash settlement complexity.
Total	38/60	Rounded Base 63. Both artifact and new workbook row use this score; this is not a manual override.

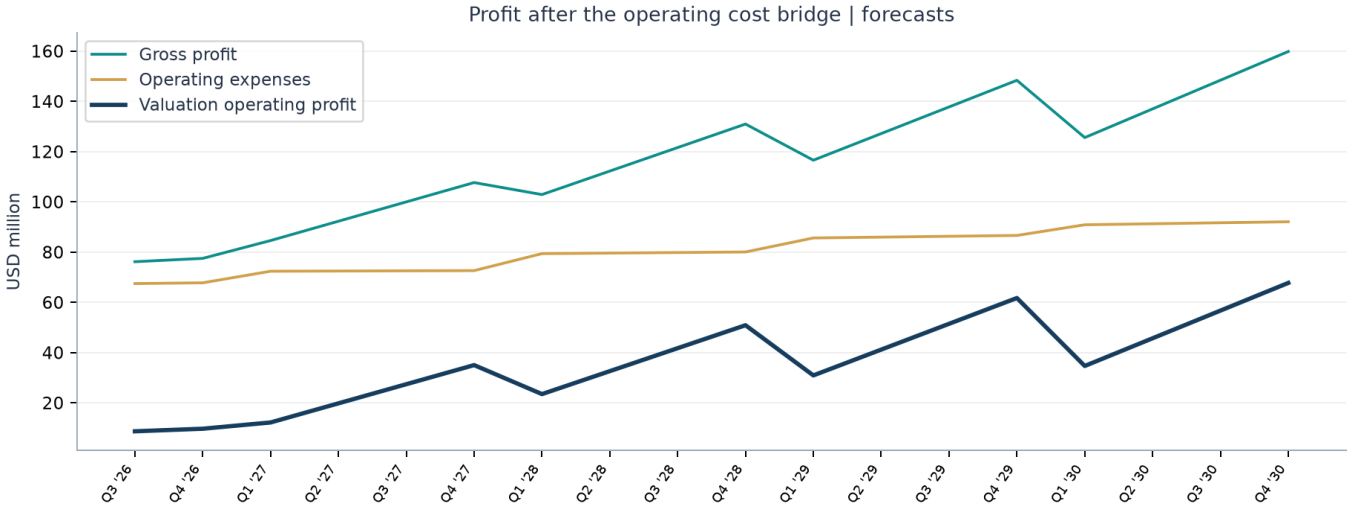
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	170.0	0.0	170.0
Q4 2026	167.4	0.0	167.4
Q1 2027	165.0	6.2	171.2
Q2 2027	180.0	6.8	186.8
Q3 2027	195.0	7.3	202.3
Q4 2027	210.0	7.9	217.9
Q1 2028	185.9	16.5	202.4
Q2 2028	202.8	18.0	220.8
Q3 2028	219.7	19.5	239.2
Q4 2028	236.6	21.0	257.6
Q1 2029	200.2	24.8	225.0
Q2 2029	218.4	27.1	245.5
Q3 2029	236.6	29.3	265.9
Q4 2029	254.8	31.6	286.4
Q1 2030	212.3	29.8	242.1
Q2 2030	231.6	32.6	264.2
Q3 2030	250.9	35.3	286.2
Q4 2030	270.2	38.0	308.2

Gross profit, operating expenses and earnings

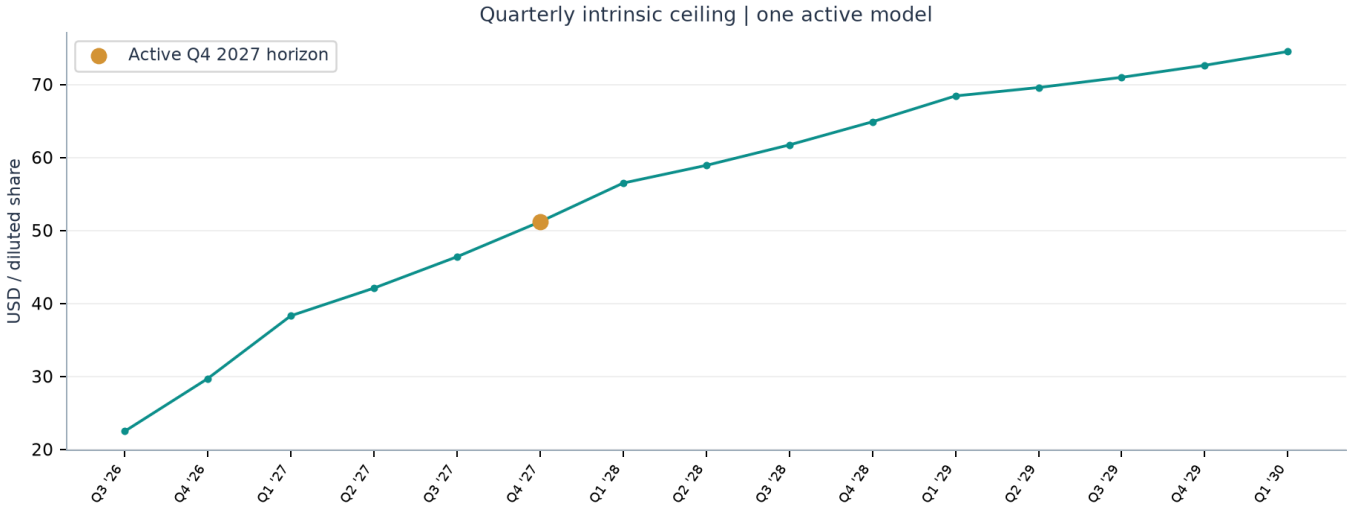


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Q3 revenue midpoint and GAAP cost bridge from July guidance; product allocation assumed	170.0	76.2	67.5	8.7	5.1%
Q4 2026 / Forecast calibrated to about 35% full-year revenue growth, not a reported Q4 actual	167.4	77.5	67.8	9.7	5.8%
Q1 2027 / Analytical forecast; not company guidance	171.2	84.6	72.4	12.2	7.1%
Q2 2027 / Analytical forecast; not company guidance	186.8	92.3	72.5	19.8	10.6%
Q3 2027 / Analytical forecast; not company guidance	202.3	100.0	72.6	27.4	13.6%
Q4 2027 / Analytical forecast; not company guidance	217.9	107.7	72.7	35.0	16.1%
Q1 2028 / Analytical forecast; not company guidance	202.4	102.9	79.4	23.5	11.6%
Q2 2028 / Analytical forecast; not company guidance	220.8	112.3	79.6	32.6	14.8%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2028 / Analytical forecast; not company guidance	239.2	121.6	79.9	41.8	17.5%
Q4 2028 / Analytical forecast; not company guidance	257.6	131.0	80.1	50.9	19.8%
Q1 2029 / Analytical forecast; not company guidance	225.0	116.6	85.7	30.9	13.8%
Q2 2029 / Analytical forecast; not company guidance	245.5	127.2	86.0	41.2	16.8%
Q3 2029 / Analytical forecast; not company guidance	265.9	137.8	86.3	51.5	19.4%
Q4 2029 / Analytical forecast; not company guidance	286.4	148.4	86.7	61.8	21.6%
Q1 2030 / Analytical forecast; not company guidance	242.1	125.6	90.9	34.7	14.3%
Q2 2030 / Analytical forecast; not company guidance	264.2	137.0	91.3	45.7	17.3%
Q3 2030 / Analytical forecast; not company guidance	286.2	148.4	91.7	56.7	19.8%
Q4 2030 / Analytical forecast; not company guidance	308.2	159.9	92.1	67.8	22.0%

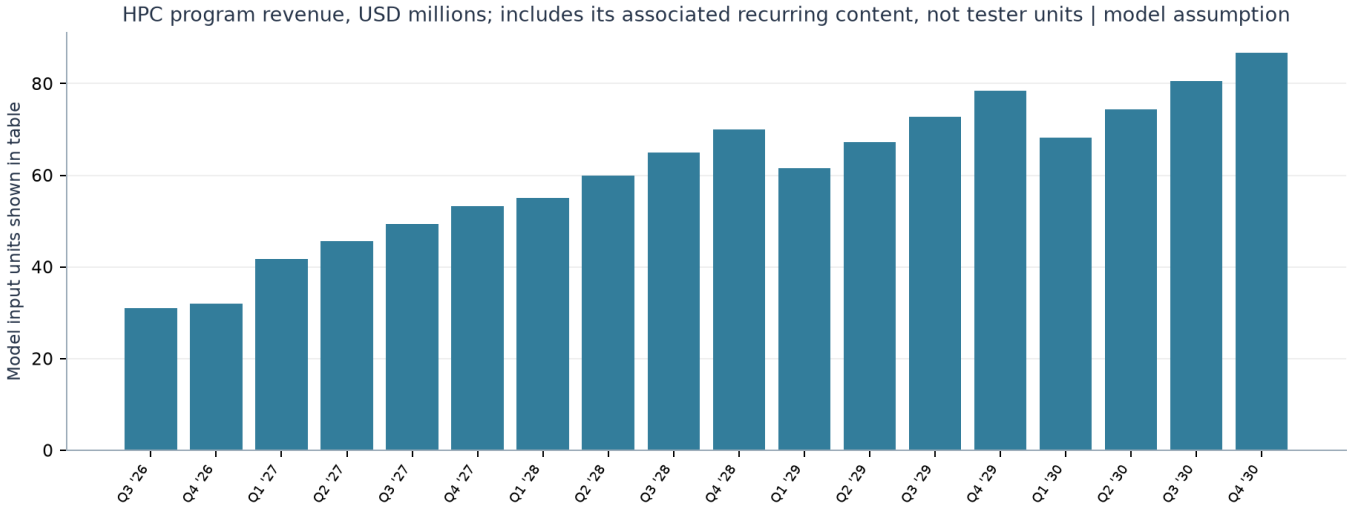
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	50.5	20x	47.738	22.48
Q4 2026	Q4 2026 to Q3 2027	69.2	20x	48.739	29.71
Q1 2027	Q1 2027 to Q4 2027	94.5	20x	51.013	38.31
Q2 2027	Q2 2027 to Q1 2028	105.8	20x	51.788	42.10
Q3 2027	Q3 2027 to Q2 2028	118.6	20x	52.520	46.39
Q4 2027	Q4 2027 to Q3 2028	133.0	20x	53.201	51.19
Q1 2028	Q1 2028 to Q4 2028	148.8	20x	53.828	56.49
Q2 2028	Q2 2028 to Q1 2029	156.3	20x	54.138	58.92
Q3 2028	Q3 2028 to Q2 2029	164.9	20x	54.459	61.72
Q4 2028	Q4 2028 to Q3 2029	174.6	20x	54.787	64.89
Q1 2029	Q1 2029 to Q4 2029	185.4	20x	55.116	68.43
Q2 2029	Q2 2029 to Q1 2030	189.2	20x	55.286	69.58
Q3 2029	Q3 2029 to Q2 2030	193.7	20x	55.467	70.98
Q4 2029	Q4 2029 to Q3 2030	198.9	20x	55.659	72.62
Q1 2030	Q1 2030 to Q4 2030	204.9	20x	55.859	74.52

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	HPC program revenue, USD millions; includes its associated recurring content, not tester units	Status
Q3 2026	31.000	Q3 revenue midpoint and GAAP cost bridge from July guidance; product allocation assumed
Q4 2026	32.000	Forecast calibrated to about 35% full-year revenue growth, not a reported Q4 actual
Q1 2027	41.800	Analytical forecast; not company guidance
Q2 2027	45.600	Analytical forecast; not company guidance
Q3 2027	49.400	Analytical forecast; not company guidance
Q4 2027	53.200	Analytical forecast; not company guidance
Q1 2028	55.000	Analytical forecast; not company guidance
Q2 2028	60.000	Analytical forecast; not company guidance
Q3 2028	65.000	Analytical forecast; not company guidance
Q4 2028	70.000	Analytical forecast; not company guidance
Q1 2029	61.600	Analytical forecast; not company guidance
Q2 2029	67.200	Analytical forecast; not company guidance
Q3 2029	72.800	Analytical forecast; not company guidance
Q4 2029	78.400	Analytical forecast; not company guidance
Q1 2030	68.200	Analytical forecast; not company guidance
Q2 2030	74.400	Analytical forecast; not company guidance
Q3 2030	80.600	Analytical forecast; not company guidance

Quarter	HPC program revenue, USD millions; includes its associated recurring content, not tester units	Status
Q4 2030	86.800	Analytical forecast; not company guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	HPC programs including dedicated recurring content	31.0	49.0%	15.2
Q3 2026	Other system programs	55.0	37.0%	20.4
Q3 2026	Residual recurring products and services excluding HPC content	84.0	48.4%	40.7
Q4 2026	HPC programs including dedicated recurring content	32.0	50.0%	16.0
Q4 2026	Other system programs	51.4	38.0%	19.5
Q4 2026	Residual recurring products and services excluding HPC content	84.0	50.0%	42.0
Q1 2027	HPC programs including dedicated recurring content	41.8	51.0%	21.3
Q1 2027	Other system programs	55.0	43.0%	23.6
Q1 2027	Residual recurring products and services excluding HPC content	68.2	53.0%	36.1
Q2 2027	HPC programs including dedicated recurring content	45.6	51.0%	23.3
Q2 2027	Other system programs	60.0	43.0%	25.8
Q2 2027	Residual recurring products and services excluding HPC content	74.4	53.0%	39.4
Q3 2027	HPC programs including dedicated recurring content	49.4	51.0%	25.2
Q3 2027	Other system programs	65.0	43.0%	27.9
Q3 2027	Residual recurring products and services excluding HPC content	80.6	53.0%	42.7
Q4 2027	HPC programs including dedicated recurring content	53.2	51.0%	27.1
Q4 2027	Other system programs	70.0	43.0%	30.1
Q4 2027	Residual recurring products and services excluding HPC content	86.8	53.0%	46.0
Q1 2028	HPC programs including dedicated recurring content	55.0	53.0%	29.2
Q1 2028	Other system programs	58.3	44.0%	25.7
Q1 2028	Residual recurring products and services excluding HPC content	72.6	54.0%	39.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2028	HPC programs including dedicated recurring content	60.0	53.0%	31.8
Q2 2028	Other system programs	63.6	44.0%	28.0
Q2 2028	Residual recurring products and services excluding HPC content	79.2	54.0%	42.8
Q3 2028	HPC programs including dedicated recurring content	65.0	53.0%	34.5
Q3 2028	Other system programs	68.9	44.0%	30.3
Q3 2028	Residual recurring products and services excluding HPC content	85.8	54.0%	46.3
Q4 2028	HPC programs including dedicated recurring content	70.0	53.0%	37.1
Q4 2028	Other system programs	74.2	44.0%	32.6
Q4 2028	Residual recurring products and services excluding HPC content	92.4	54.0%	49.9
Q1 2029	HPC programs including dedicated recurring content	61.6	54.0%	33.3
Q1 2029	Other system programs	61.6	45.0%	27.7
Q1 2029	Residual recurring products and services excluding HPC content	77.0	55.0%	42.4
Q2 2029	HPC programs including dedicated recurring content	67.2	54.0%	36.3
Q2 2029	Other system programs	67.2	45.0%	30.2
Q2 2029	Residual recurring products and services excluding HPC content	84.0	55.0%	46.2
Q3 2029	HPC programs including dedicated recurring content	72.8	54.0%	39.3
Q3 2029	Other system programs	72.8	45.0%	32.8
Q3 2029	Residual recurring products and services excluding HPC content	91.0	55.0%	50.1
Q4 2029	HPC programs including dedicated recurring content	78.4	54.0%	42.3
Q4 2029	Other system programs	78.4	45.0%	35.3
Q4 2029	Residual recurring products and services excluding HPC content	98.0	55.0%	53.9
Q1 2030	HPC programs including dedicated recurring content	68.2	54.0%	36.8
Q1 2030	Other system programs	63.8	45.0%	28.7

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2030	Residual recurring products and services excluding HPC content	80.3	55.0%	44.2
Q2 2030	HPC programs including dedicated recurring content	74.4	54.0%	40.2
Q2 2030	Other system programs	69.6	45.0%	31.3
Q2 2030	Residual recurring products and services excluding HPC content	87.6	55.0%	48.2
Q3 2030	HPC programs including dedicated recurring content	80.6	54.0%	43.5
Q3 2030	Other system programs	75.4	45.0%	33.9
Q3 2030	Residual recurring products and services excluding HPC content	94.9	55.0%	52.2
Q4 2030	HPC programs including dedicated recurring content	86.8	54.0%	46.9
Q4 2030	Other system programs	81.2	45.0%	36.5
Q4 2030	Residual recurring products and services excluding HPC content	102.2	55.0%	56.2

Operating-cost derivation

Quarter	Research and development including stock compensation	Selling and administration including stock compensation and restructuring reserve	Acquired-intangible amortization
Q3 2026	27.0	33.2	7.3
Q4 2026	28.0	32.5	7.3
Q1 2027	28.6	35.6	7.3
Q2 2027	28.6	35.6	7.3
Q3 2027	28.6	35.6	7.3
Q4 2027	28.6	35.6	7.3
Q1 2028	30.8	39.7	6.5
Q2 2028	30.8	39.7	6.5
Q3 2028	30.8	39.7	6.5
Q4 2028	30.8	39.7	6.5
Q1 2029	32.8	43.2	6.0
Q2 2029	32.8	43.2	6.0
Q3 2029	32.8	43.2	6.0
Q4 2029	32.8	43.2	6.0
Q1 2030	34.6	46.4	5.5
Q2 2030	34.6	46.4	5.5
Q3 2030	34.6	46.4	5.5
Q4 2030	34.6	46.4	5.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	QUALIFICATION CONVERSION	45%	0.0	0.0	0.0	0.0
Q3 2026	EARLY ENGAGEMENT PROGRAMS	25%	0.0	0.0	0.0	0.0
Q3 2026	REPRICEABLE VALUE CAPTURE	45%	0.0	0.0	0.0	0.0
Q3 2026	LEGACY RECOVERY DELAY	25%	0.0	0.0	0.0	0.0
Q4 2026	QUALIFICATION CONVERSION	45%	0.0	0.0	0.0	0.0
Q4 2026	EARLY ENGAGEMENT PROGRAMS	25%	0.0	0.0	0.0	0.0
Q4 2026	REPRICEABLE VALUE CAPTURE	45%	0.0	0.0	0.0	0.0
Q4 2026	LEGACY RECOVERY DELAY	25%	0.0	0.0	0.0	0.0
Q1 2027	QUALIFICATION CONVERSION	45%	18.1	9.6	2.5	3.2
Q1 2027	EARLY ENGAGEMENT PROGRAMS	25%	0.0	0.0	0.0	0.0
Q1 2027	REPRICEABLE VALUE CAPTURE	45%	0.2	0.1	0.0	0.1
Q1 2027	LEGACY RECOVERY DELAY	25%	-8.2	-3.5	-1.0	-0.6
Q2 2027	QUALIFICATION CONVERSION	45%	19.8	10.5	2.8	3.5
Q2 2027	EARLY ENGAGEMENT PROGRAMS	25%	0.0	0.0	0.0	0.0
Q2 2027	REPRICEABLE VALUE CAPTURE	45%	0.2	0.2	0.0	0.1
Q2 2027	LEGACY RECOVERY DELAY	25%	-9.0	-3.9	-1.1	-0.7
Q3 2027	QUALIFICATION CONVERSION	45%	21.4	11.4	3.0	3.8
Q3 2027	EARLY ENGAGEMENT PROGRAMS	25%	0.0	0.0	0.0	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2027	REPRICEABLE VALUE CAPTURE	45%	0.3	0.2	0.0	0.1
Q3 2027	LEGACY RECOVERY DELAY	25%	-9.8	-4.2	-1.2	-0.8
Q4 2027	QUALIFICATION CONVERSION	45%	23.1	12.2	3.2	4.1
Q4 2027	EARLY ENGAGEMENT PROGRAMS	25%	0.0	0.0	0.0	0.0
Q4 2027	REPRICEABLE VALUE CAPTURE	45%	0.3	0.2	0.0	0.1
Q4 2027	LEGACY RECOVERY DELAY	25%	-10.5	-4.5	-1.3	-0.8
Q1 2028	QUALIFICATION CONVERSION	45%	36.3	19.2	5.1	6.4
Q1 2028	EARLY ENGAGEMENT PROGRAMS	25%	8.8	4.4	1.5	0.7
Q1 2028	REPRICEABLE VALUE CAPTURE	45%	0.3	0.2	0.0	0.1
Q1 2028	LEGACY RECOVERY DELAY	25%	-8.7	-3.8	-1.0	-0.7
Q2 2028	QUALIFICATION CONVERSION	45%	39.6	21.0	5.5	6.9
Q2 2028	EARLY ENGAGEMENT PROGRAMS	25%	9.6	4.8	1.6	0.8
Q2 2028	REPRICEABLE VALUE CAPTURE	45%	0.4	0.2	0.0	0.1
Q2 2028	LEGACY RECOVERY DELAY	25%	-9.5	-4.1	-1.1	-0.7
Q3 2028	QUALIFICATION CONVERSION	45%	42.9	22.7	6.0	7.5
Q3 2028	EARLY ENGAGEMENT PROGRAMS	25%	10.4	5.2	1.8	0.9
Q3 2028	REPRICEABLE VALUE CAPTURE	45%	0.4	0.3	0.0	0.1
Q3 2028	LEGACY RECOVERY DELAY	25%	-10.3	-4.4	-1.2	-0.8
Q4 2028	QUALIFICATION CONVERSION	45%	46.2	24.5	6.5	8.1
Q4 2028	EARLY ENGAGEMENT PROGRAMS	25%	11.2	5.6	1.9	0.9

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2028	REPRICEABLE VALUE CAPTURE	45%	0.4	0.3	0.0	0.1
Q4 2028	LEGACY RECOVERY DELAY	25%	-11.1	-4.8	-1.3	-0.9
Q1 2029	QUALIFICATION CONVERSION	45%	49.5	26.2	6.9	8.7
Q1 2029	EARLY ENGAGEMENT PROGRAMS	25%	18.7	9.3	3.2	1.5
Q1 2029	REPRICEABLE VALUE CAPTURE	45%	0.4	0.3	0.0	0.1
Q1 2029	LEGACY RECOVERY DELAY	25%	-9.2	-4.0	-1.1	-0.7
Q2 2029	QUALIFICATION CONVERSION	45%	54.0	28.6	7.6	9.5
Q2 2029	EARLY ENGAGEMENT PROGRAMS	25%	20.4	10.2	3.5	1.7
Q2 2029	REPRICEABLE VALUE CAPTURE	45%	0.4	0.3	0.0	0.1
Q2 2029	LEGACY RECOVERY DELAY	25%	-10.1	-4.3	-1.2	-0.8
Q3 2029	QUALIFICATION CONVERSION	45%	58.5	31.0	8.2	10.3
Q3 2029	EARLY ENGAGEMENT PROGRAMS	25%	22.1	11.1	3.8	1.8
Q3 2029	REPRICEABLE VALUE CAPTURE	45%	0.5	0.3	0.0	0.1
Q3 2029	LEGACY RECOVERY DELAY	25%	-10.9	-4.7	-1.3	-0.8
Q4 2029	QUALIFICATION CONVERSION	45%	63.0	33.4	8.8	11.1
Q4 2029	EARLY ENGAGEMENT PROGRAMS	25%	23.8	11.9	4.0	2.0
Q4 2029	REPRICEABLE VALUE CAPTURE	45%	0.5	0.3	0.1	0.1
Q4 2029	LEGACY RECOVERY DELAY	25%	-11.8	-5.1	-1.4	-0.9
Q1 2030	QUALIFICATION CONVERSION	45%	57.8	30.6	8.1	10.1
Q1 2030	EARLY ENGAGEMENT PROGRAMS	25%	24.2	12.1	4.1	2.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	REPRICEABLE VALUE CAPTURE	45%	0.5	0.3	0.0	0.1
Q1 2030	LEGACY RECOVERY DELAY	25%	-9.6	-4.1	-1.1	-0.7
Q2 2030	QUALIFICATION CONVERSION	45%	63.0	33.4	8.8	11.1
Q2 2030	EARLY ENGAGEMENT PROGRAMS	25%	26.4	13.2	4.5	2.2
Q2 2030	REPRICEABLE VALUE CAPTURE	45%	0.5	0.3	0.0	0.1
Q2 2030	LEGACY RECOVERY DELAY	25%	-10.4	-4.5	-1.3	-0.8
Q3 2030	QUALIFICATION CONVERSION	45%	68.2	36.2	9.6	12.0
Q3 2030	EARLY ENGAGEMENT PROGRAMS	25%	28.6	14.3	4.9	2.4
Q3 2030	REPRICEABLE VALUE CAPTURE	45%	0.5	0.3	0.1	0.1
Q3 2030	LEGACY RECOVERY DELAY	25%	-11.3	-4.9	-1.4	-0.9
Q4 2030	QUALIFICATION CONVERSION	45%	73.5	39.0	10.3	12.9
Q4 2030	EARLY ENGAGEMENT PROGRAMS	25%	30.8	15.4	5.2	2.5
Q4 2030	REPRICEABLE VALUE CAPTURE	45%	0.6	0.4	0.1	0.1
Q4 2030	LEGACY RECOVERY DELAY	25%	-12.2	-5.2	-1.5	-0.9

Enterprise-to-equity reconciliation

20x fully expensed forward-four-quarter GAAP operating profit, with end-window common shares plus conversion-premium shares. Convertible principal remains a cash claim; no capped-call credit. Adopted premium shares are fixed in the workbook probability controls; rebuild the jointly solved premium and funding before adopting changed operating inputs.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	-63.8	0.0	-63.8	22.48
Q4 2026	Q3 2027	-63.8	0.0	-63.8	29.71
Q1 2027	Q4 2027	-63.8	0.0	-63.8	38.31
Q2 2027	Q1 2028	-63.8	0.0	-63.8	42.10
Q3 2027	Q2 2028	-63.8	0.0	-63.8	46.39
Q4 2027	Q3 2028	-63.8	0.0	-63.8	51.19
Q1 2028	Q4 2028	-63.8	0.0	-63.8	56.49
Q2 2028	Q1 2029	-63.8	0.0	-63.8	58.92
Q3 2028	Q2 2029	-63.8	0.0	-63.8	61.72
Q4 2028	Q3 2029	-63.8	0.0	-63.8	64.89
Q1 2029	Q4 2029	-63.8	0.0	-63.8	68.43
Q2 2029	Q1 2030	-63.8	0.0	-63.8	69.58
Q3 2029	Q2 2030	-63.8	0.0	-63.8	70.98
Q4 2029	Q3 2030	-63.8	0.0	-63.8	72.62
Q1 2030	Q4 2030	-63.8	0.0	-63.8	74.52

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

QUALIFICATION_CONVERSION

probability: 0.45

Conditional: Gross incremental revenue of $110/220/300/350m in CY2027/28/29/30; remove 25% overlap with the reference qualified-program ramp.

bounds: Probability 25-65%; accepted delivery timing and customer spend can differ materially. The $200-230m current qualification bucket is annual customer potential, not orders; later revenue assumes program expansion.

overlap: Reference HPC revenue already reaches $190/250/280/310m. Dedicated recurring content is counted inside HPC once, not added again to residual service revenue.

bridge: 53% GP less 14% incremental operating expense = 39% OP contribution.

source: July 30 results call and Q2 presentation: four qualified customers, five in qualification.

EARLY_ENGAGEMENT_PROGRAMS

probability: 0.25

Conditional: Gross $0/80/170/220m CY2027/28/29/30 engagement conversion; 50% overlap and scope reserve.

bounds: Probability 10-40%; no 2027 revenue credited. Delays beyond 2030 or zero awards remain possible.

overlap: CPO and optical engine work are already included in the $850m pipeline. There is no separate CPO TAM addition or repetition of the qualification bucket.

bridge: 50% GP less 17% engineering, selling and launch expense = 33% OP contribution.

source: July call: ten early-engagement customers and optical engine insertions.

REPRICEABLE_VALUE_CAPTURE

probability: 0.45

Conditional: 3% premium on 30% of HPC program revenue and probability-weighted new program deliveries, less 50% mix overlap.

bounds: Premium 0-5%; eligible revenue 20-40%; probability 25-60%.

overlap: Fixed-price booked orders excluded. This is a small program-linked pass-through branch, not another independent volume shock. Annual probability-weighted new-program deliveries define the eligible base.

bridge: 35% of extra revenue reserved for components, plus 10% operating support; 55% OP contribution.

source: July Q&A: initial customer discussions about passing through rising specialty IC and memory cost. No announced increase assumed as fact.

LEGACY_RECOVERY_DELAY

probability: 0.25

Conditional: 15% of non-HPC system revenue fails to arrive in the modeled year.

bounds: Revenue loss 5-25%; probability 15-40%.

overlap: Single combined cyclical and utilization branch; no extra deduction for the same automotive shortfall.

bridge: 43% lost GP offset by 12% avoidable operating cost = 31% negative OP contribution.

source: July call: automotive orders down 24% year over year despite computing and industrial strength.

Remaining bounded uncertainties

- Q2 and August investor PDFs were text-readable through the browser research service, but direct original downloads returned HTTP 403. Their visual figures were not inspectable here; no recreated source chart is presented as an original. Both pages of the issuer product sheet were downloaded and visually inspected.

- Q3 financial results and any conversions after July 21 are not yet available in reviewed disclosures. All projected quarters remain forecasts.

- HPC program versus recurring revenue allocation is an analytical proxy; Cohu does not disclose the exact split. Buckets are mutually exclusive in this model.

- Customer spending pipeline is neither backlog nor guaranteed Cohu revenue. Qualification duration, volume and accepted delivery schedules are unknown.

- Capped-call settlement timing and potential early-conversion termination require transaction-specific confirmation. No hedge benefit is credited in the active valuation.

- Conversion-premium shares depend on the modeled share value; the saved end-window schedule is calibrated to the active case. A major probability or multiplier change requires resolving that schedule, rather than treating fixed dilution as a full funding counterfactual.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q2 release | 2026-07-30 | https://ir.cohu.com/news-releases/news-release-details/cohu-reports-second-quarter-2026-results

[2] Q2 10Q | 2026-07-30 | https://ir.cohu.com/node/19866/xbrl-viewer

[3] Q1 release | 2026-04-30 | https://ir.cohu.com/node/19596

[4] Q2 deck | 2026-07-30 | https://ir.cohu.com/static-files/cf848b8e-d7be-47b3-91be-f56d9a316317

[5] August deck | 2026-08-18 | https://ir.cohu.com/static-files/48baff3a-1617-402f-940e-58c7fed7c4df

[6] Q2 management call | 2026-07-30 | https://www.roic.ai/quote/COHU/transcripts

[7] Q1 management call | 2026-04-30 | https://earningscalls.dev/transcripts/cohu-inc_cohu_earnings_call_transcript_2026-04-30

[8] TCore product sheet | 2020-05-30 | https://www.cohu.com/wp-content/uploads/2019/06/T-Core_Product-Sheet_20200530.pdf | Archived SHA-256: 9e313feb912de2ca0a19a1140d93a5b7b393e3b3fbfde5635f47ebaf8405911d